

M/s Hind Industries Limited v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 8 October 2013 (order-sheet, 8.12.2011 to 8.10.2013) · SPECIAL APPEAL No. - 2362 of 2011 · **Special appeal dismissed; writ rightly dismissed for failure to use Section 127 appeal / Area Level Committee remedy**

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HEADNOTE

On a special appeal against dismissal of a writ, the Division Bench affirmed that an assessee who bypasses the statutory appellate remedy cannot invoke the writ jurisdiction to challenge a theft assessment. The appellant, a bulk consumer found involved in theft on a 1997 inspection, had its assessment (corrected upward to about Rs.1.22 crore by a State Level Bijli Adalat) kept alive for years while it neither pursued its representation nor approached the Superintending Engineer, the appellate authority under Section 127 of the Electricity Act, 2003, or the Area Level Committee; the learned Single Judge dismissed the writ as a grossest abuse of process, relegated the appellant to the Area Level Committee, left the applicability of the 2003 Act and the interest rate to the competent authority, and directed an enquiry against both the Ghaziabad officers and the appellant. Dismissing the special appeal, the Court held: (i) the writ was rightly not entertained given the unused statutory alternative remedy of appeal under the Electricity Code / Section 127; (ii) acquittal in the criminal theft case does not make the assessment order not survive, as acquittal may rest on grounds unrelated to the assessment and the assessment of electricity charges on account of theft is provided under the Act; and (iii) Section 127(6) specifically provides for interest at 16% per annum compounded every six months on the assessed amount, whether the pre-2003 law permitted interest being a question for the appellate authority, payment of interest being (per Wig Brothers) a necessary corollary to retention of the amount, neither penal nor confiscatory. The appellant had not lost its right to challenge the assessment; it was avoiding the proper forum.

FACTUAL SUMMARY

The appellant, M/s Hind Industries Limited, a bulk consumer of electricity, was found involved in theft of electricity per an inspection report dated 15.10.1997, and an FIR was lodged. The Executive Engineer, Electricity, Urban Distribution Division II, Ghaziabad made an assessment on 21.10.1997 and prepared a bill of Rs.24,47,884, which the appellant deposited on 5.12.1997 while applying for permanent disconnection; supply was permanently disconnected on 3.3.1999 and a final bill of about Rs.5 lakhs was prepared. On directions of the Supreme Court a State Level Bijli Adalat was constituted, which directed the assessing authority to correct the bills, and the assessment was increased to Rs.1,22,55,783. The appellant's representation and Writ Petition No.43936 of 2002 were disposed of on 10.10.2002 directing the Superintending Engineer of the U.P. Power Corporation to decide the representation by a speaking order. Meanwhile, the Additional Chief Judicial Magistrate-I, Ghaziabad, by order dated 23.3.2001 exonerated the appellant from the theft charge. Years later, when the appellant sought a fresh connection, it was told that under the U.P. Electricity Supply Code, 2002 read with the Electricity Act, 2003 a new connection could not be given until old dues were paid; the appellant furnished a bank guarantee of about Rs.98 lakhs against a demand of Rs.98,07,924 with interest. The Superintending Engineer rejected the pending representation on 12.7.2011 without a hearing; the appellant's Writ Petition No.58434 of 2011 was dismissed by the learned Single Judge on 12.10.2011, who found the grossest abuse of the process of the Court, held that the appellant had kept the matter pending for nine years without approaching the Area Level Committee, left open the applicability of the 2003 Act and the interest rate to the competent authority, and directed a detailed enquiry by the Principal Secretary (Energy) against both the Ghaziabad officers of U.P. Power Corporation and the appellant. The appellant filed Special Appeal No.2362 of 2011. After a long series of interim extensions between 2011 and 2013, the Division Bench of Sunil Ambwani and Surya Prakash Kesarwani, JJ. dismissed the special appeal on 8 October 2013.

REUSABLE CONSTRUCTIONS

1. A writ petition challenging an electricity assessment is not to be entertained where the assessee has bypassed the statutory alternative remedy of appeal under Section 127 of the Electricity Act, 2003 (and the Area Level Committee); keeping the matter pending for years without pursuing the remedy is an abuse of the process of the Court. order of 8.10.2013

2. Acquittal in a criminal theft-of-electricity case does not make the assessment order not survive; an acquittal may rest on grounds having nothing to do with the assessment, and the assessment of electricity charges on account of theft is provided for under the Act. [order of 8.10.2013](#)
3. Section 127(6) of the Electricity Act, 2003 provides for interest on the assessed amount at 16% per annum compounded every six months; whether interest was chargeable under the pre-2003 law is a matter for the appellate authority. Payment of interest is a necessary corollary to the retention of the amount and is neither penal nor confiscatory. [order of 8.10.2013](#)
4. An assessee does not lose the right to challenge the assessment order by pursuing collateral grounds; but the challenge must be carried to the competent appellate authority, not evaded by taking a variety of grounds to avoid it. [order of 8.10.2013](#)

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

RATIO

Writ not entertained where the assessee bypassed the Section 127 appeal and the Area Level Committee

QUESTION

Can a theft-assessment be challenged by writ or special appeal where the assessee has not availed the statutory appellate remedy under Section 127 of the Electricity Act, 2003 or approached the Area Level Committee?

HOLDING

No. The appellant neither approached the Superintending Engineer nor the appellate authority under Section 127 of the Electricity Act, 2003 after its enforcement, and did not approach the Area Level Committee; instead it kept the matter pending for nine years. A preliminary objection that the writ was liable to be dismissed for the statutory alternative remedy of appeal available under the Electricity Code was upheld, the learned Single Judge finding the grossest abuse of the process of the Court and relegating the appellant to the Area Level Committee. The Division Bench affirmed and dismissed the special appeal as being without merit. [order of 8.10.2013](#)

EVIDENCE “We are not inclined to accept any of the arguments in as much as the appellant neither approached the Superintending Engineer nor the appellate authority under Section 127 of the Electricity Act, after it was enforced of the Electricity Act 2003.” [order of 8.10.2013](#)

EVIDENCE “A preliminary objection has been raised on behalf of the respondents that the present writ petition is liable to be dismissed on the ground of statutory alternative remedy of appeal available under the Electricity Code.” [order of 8.10.2013](#) (quoting the Single Judge's order of 12.10.2011)

EVIDENCE “It is always open to the petitioner to approach the Area Level Committee and to seek redressal of his grievance in view of aforesaid.” [order of 8.10.2013](#) (quoting the Single Judge's order of 12.10.2011)

EVIDENCE “There has been grossest abuse of the process of the Court.” [order of 8.10.2013](#) (quoting the Single Judge's order of 12.10.2011)

FLAG Order-sheet: 38 pages, no printed page numbers or numbered paragraphs; pins are order dates. The reasoned disposal is the Division Bench order of 8.10.2013, which reproduces the learned Single Judge's order of 12.10.2011; the preceding pages are interim listing/stay-extension orders (2011-2013).

HOLDING-UNIT · EA2003::127

OBITER

Interest at 16% per annum compounded every six months on the assessed amount

QUESTION

What interest is payable on the assessed amount under the Electricity Act, 2003, and was the interest question decided in this appeal?

HOLDING

Section 127(6) of the Electricity Act, 2003 specifically provides for interest at 16% per annum compounded every six months on the assessed amount. Whether there was any provision for charging interest under the pre-2003 law was left to be raised before the appellate authority, and the applicability of the 2003 Act and the rate of interest were left open to the competent authority. Payment of interest is a necessary corollary to the retention of the amount and is neither penal nor confiscatory, following the Division Bench in *Wig Brothers*. [order of 8.10.2013](#)

QUALIFIER

The interest issue was expressly left open to the competent/appellate authority; the Court's statement of the Section 127(6) rate is exposition of the statutory position, not an operative determination of the interest liability against this appellant.

EVIDENCE “So far the interest on the assessed amount is concerned with Section 127 (6) of the Electricity Act (hereinafter referred to as Act 2003) specifically provides for interest at the rate of 16% per annum compounded every six months.” order of 8.10.2013

EVIDENCE “As to whether there was provision of charging interest under the old Act can be raised before the appellate authority.” order of 8.10.2013

HOLDING-UNIT · EA2003::135

RATIO

Acquittal in the criminal theft case does not extinguish the assessment of electricity charges

QUESTION

Does acquittal in the criminal theft-of-electricity case cause the assessment order not to survive?

HOLDING

No. The Court was unable to accept the argument that if the criminal case of theft results in acquittal the assessment order does not survive: an acquittal may be on a variety of grounds having nothing to do with the assessment of electricity, and the assessment of electricity charges on account of theft is provided under the Act. The appellant had not lost its right to challenge the assessment, but was taking a variety of grounds to avoid such a challenge before the proper forum. order of 8.10.2013

QUALIFIER

The assessment originated in a 1997 inspection and a State Level Bijli Adalat correction; the appellate remedy was treated by the Court under Section 127 of the Electricity Act, 2003.

EVIDENCE “We are unable to ascribe the argument that if the criminal case of theft of electricity results into acquittal, the assessment order does not survive. The acquittal may be on variety of grounds, which has nothing to do with the assessment of the electricity. The assessment of electricity charges, on account of theft is provided under the Act.” order of 8.10.2013

EVIDENCE “We do not find that the appellant has lost its rights to challenge the assessment order.” order of 8.10.2013

PRINCIPLE TAGS

alternate-remedy-section-127-appeal-bars-writ A theft-assessment challenge is relegated to the statutory appeal under Section 127 and the Area Level Committee; a writ kept pending for nine years without using that remedy is an abuse of process. Same Section 127 cluster as SCJ-069, SCJ-163. order of 8.10.2013

criminal-acquittal-does-not-extinguish-electricity-assessment Acquittal in the criminal theft case does not make the assessment order not survive; acquittal may rest on grounds unrelated to the assessment, and the assessment of charges on account of theft is provided under the Act. order of 8.10.2013

section-127-6-interest-16-percent-compounded-semiannually Section 127(6) provides interest at 16% per annum compounded every six months on the assessed amount; interest is a necessary corollary to retention of the amount, neither penal nor confiscatory (Wig Brothers). Lead authorities: *Wig Brothers (Builders & Engineers) (P) Ltd. & Anr. v. Union of India & Ors.* order of 8.10.2013

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — APPLICABILITY OF THE ELECTRICITY ACT, 2003 TO THE ASSESSMENT AND THE ENTITLEMENT TO / RATE OF INTEREST UNDER THE PRE-2003 LAW

The learned Single Judge left the issue of applicability of the 2003 Act and the rate of interest to be examined by the competent authority in accordance with the statutory provisions; the Division Bench held that whether there was a provision for charging interest under the old Act could be raised before the appellate authority. Neither court finally decided it. order of 8.10.2013

NOT DECIDED — CORRECTNESS OF THE SUPERINTENDING ENGINEER'S ORDER DATED 12.7.2011 AND OF THE REVISED ASSESSMENT OF ABOUT RS.1.22 CRORE

The learned Single Judge held it unnecessary to consider the rival contentions on the correctness of the impugned order, observing that there was no challenge to the assessment order before any competent authority as on date; the merits of the revised assessment

were left to the appellate forum. **order of 8.10.2013**

RELATED CASES — SEE ALSO

SCJ-069 — Industrial consumer in the Section 127 appellate-remedy cluster on challenges to electricity assessments.

SCJ-163 — Section 127 cluster on the statutory appeal against an assessment (industrial consumer).

SCJ-042 — Section 135 theft cluster addressing the relationship of criminal theft proceedings and assessment.

SCJ-051 — Section 135 theft-assessment cluster under the Electricity Act, 2003.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Wig Brothers (Builders & Engineers) (P) Ltd. & Anr. v. Union of India & Ors.</i> (2003) 3 Company Law Journal 328 (Alld.) High Court of Judicature at Allahabad	Payment of interest is a necessary corollary to the retention of the amount; it is neither penal nor confiscatory.	Relied on for the proposition that interest follows retention of the assessed amount order of 8.10.2013 (quoting the Single Judge's order of 12.10.2011)	Court	Relied on

SCJ-1266 · M/s Hind Industries Limited v. State of U.P. & Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.